

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
December 2024	Process and Objective	Planning: Audit Program Risk Alignment and Reference Material	Joanne Yap	Combined and simplified the Defined Risk Areas for External Sales and RIM. Updated the reference links.
November 2024	Returned Inventory Management	Inventory Management, Intercompany Transaction	Joanne Yap	- Included the details of external purchases. - Included the details of domestic internal cost transaction.
November 2024	External Sales of Used Equipment	Broker Selection, Retail Sales, Pricing Requirement	Joanne Yap	- Updated the broker selection and validation process. - Removed the verification of unbilled transaction and updated the details of OEM equipment. - Removed the FMV review.
November 2023	Process and Objective	Planning: Data Analysis	Joanne Yap	Added self-serve instruction for some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits that will now be extracted directly by the audit team.
November 2023	External Sales of Used Equipment	External Sales – Retail Sales	Joanne Yap	Added details for Internal Sales
September 2023	Key Control Question: 13. Environmental Management	Approach	Lucia Vizcaya	Remove "Tririga" data base, and added "Environmental Performance" data base
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, the Global asset Recovery Services (GARS) consists of the A) External Sales of Used Equipment and B) Returned Inventory Management (RIM) process.

GARS manages used equipment returned to IBM, plus systems and parts that are surplus to IBM's requirements, to optimize recovery and utilization for IBM. GARS is responsible for developing sales strategies and decisions on re-manufacturing, de-manufacturing, sale or scrap of used equipment and surplus inventory.

External Sales of Used Equipment is defined as the process to help IBM reduce it's amount of Excess and Surplus Inventory by selling parts and machines from various sources to the secondary market. Included in the process are administrative procedures which ensure effective:

- External Sales
- Pricing Requirements
- Credit Evaluation
- Revenue and Cost Recognition
- Measurements
- Separation of Duties
- E-Business

Returned inventory management is the process for the control of used equipment returned to IBM and inventory that is surplus to IBM's requirements. Used equipment can be returned from customers or internal installations. Surplus inventory comprises both systems and parts that are in excess of IBM's requirements. The process consists of the verification of returned assets, management of the inventory, and final disposition through remarketing or scrapping.

Additional information:

1. For leased equipment, Client Financing is responsible for having the used equipment returned to IBM warehouse at the end of the lease.
2. The logistics operations are entrusted to IBM Global Logistics, including management of the suppliers contracted to execute the logistics operations. In addition, IBM Global Logistics is accountable for the provision of services contracted, and the validation of the costs incurred, to repair and dispose of used equipment and parts.
3. For logistics operations performed by the Lead Logistics Provider (LLP) supplier, a fourth party logistics service provider, an audit protocol has been established between IBM and the Lead Logistics Provider (LLP) supplier. This audit protocol is applicable to processes and transactions being audited that are performed by both the Lead Logistics Provider (LLP) supplier and the third-party logistics service providers that are contracted by the Lead Logistics Provider (LLP) supplier. Refer to the audit program for details of the audit protocol.
4. Starting 1Q 2017, separate financing legal entities under IBM Credit LLC ("IBM Credit") were set up in each country in which IGF operates, specifically for client and commercial financing activities. In addition, IBM Credit will begin separate financial reporting, including 10-Q and 10-K filings, whilst its financial results will continue to roll up into IBM financial statements. New processes were implemented to facilitate the inter-company agreements, inter-company billings, and services provided between IBM and IBM Credit. Also, existing processes were modified to reflect to the operational changes.

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PROCESS AND OBJECTIVE (Continued)

5. Please note that only Client Financing and Commercial Financing activities are run by IBM Credit*, while GARS remained with IBM. For the process of "Returned Inventory Management" which is under GARS, the major impact will be on the asset title transfer from IBM Credit (Client Financing) to IBM (GARS). GARS process starts and CF process ends only when the asset is transferred to GARS (from an End of Lease perspective).

** Taiwan, Macau, Argentina, Ecuador, Uruguay not in IBM Credit LLC **

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PLANNING: Audit Program Risk Alignment

External Sales of Used Equipment and Returned Inventory Management

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Sales and Pricing	High	External Sales, E-Business, Credit Evaluation, Pricing Requirements	All
Import and Export Compliance	High	Import Compliance, Export Compliance	All
Accounting	Medium	Revenue and Cost	All
Inventory Management	Medium	Equipment and Parts Returns, Inventory Management, Physical Security, Sensitive Parts, Accounting, Scrap and Disposal, Remanufacturing and Demanufacturing	All
Broker Management	Medium	External Sales	All
Contracting for Subcontracted Services	Medium	Supplier Management	All

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

Self-Service Reports

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

<i>Information previously in IDR</i>	<i>Instructional Materials to download information and applying for access to the source tool</i>
• <i>Management Self-Assessment of Controls (MSAC)</i> • <i>Risk Evaluations (RE's)</i> • <i>Proactive Business Control Reviews</i> • <i>Key Control over Financial Reporting (KCFR) control points</i> • <i>KCFR defects</i> • <i>External Audit</i>	https://ibm.ent.box.com/file/1377179917953

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

External Sales of Used Equipment

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Brokers	Validation and revalidation	Brokers are not properly validated	Sales of used equipment to unauthorized brokers
Sales transactions	Sales discount Gross profit (as a secondary indicator)	Pricing not approved per delegation	Unauthorized pricing
Accounts receivable aging, provision for doubtful accounts, write-offs	Analyze by account, amount, and aging	Brokers/customers or credit not properly validated Sales terms incomplete or side letters	Sales on credit to brokers and customers that are not creditworthy Unauthorized terms and conditions Invalid sales transactions
Manual ledger entries to revenue and cost	Manual journal entries to revenue and cost accounts, including accruals and provisions	Ledger entries not correctly recorded	Incorrect reporting of revenue and cost

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PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Credit notes and billing adjustments	Volumes and amount by reason code	Processing issues - billing accuracy Solution design - sales terms and conditions not clear or side letters	Incorrect revenue recognition Accuracy of recording transactions Unapproved or incomplete sales terms
Used equipment and parts available for sale	Aging of used equipment and parts available for sale Reduction to fair market value as used equipment aged	Used equipment available for sale not being tracked and sold Fair market value overstated for aged used equipment and parts	Loss of sales Over valuation of inventory
Document Repositories	Request Technology team to perform a scan of the document repositories	Open document repositories with exposed IBM confidential information	Data exposure

For External Sales of Used Equipment engagements, the sample universe should include databases associated with web sites which serve as a trusted source or contain customer data used in contract negotiation, commerce transactions, approval or acceptance of business terms and agreements.

Returned Inventory Management

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Summary of total pieces in inventory and total pieces in inventory over one year	Determine percentage of aged inventory was excessive, or if there was aged obsolete equipment	Inadequate visibility as to the status of aged, returned inventory	Aged Returned Inventory without identified actions for disposal
Document repositories	Request Technology team to perform a scan of the document repositories	Open document repositories with exposed IBM confidential information	Data exposure

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PLANNING: Reference Material

Accounting Practices

Accounting Practices can be found at the following web site: <https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>

AP09 Revenue Composition, Recognition, and Recording
AP10 Inventory Valuation at Lower of Cost or Market
AP19 Inventory Verification
AP20 Consignment Inventory Accounting and Control
AP21 Sales with the Right of Return
AP25 Valuation of Parts Returned for Salvaging
AP26 Recognition of Cost in Revenue Generating Transactions
AP65 Accounting for Fair Value Measurements

Corporate Instructions

Corporate Instructions can be found at the following web site: [IBM Corporate Documents - Corporate Instructions](#)

Corporate Policies can be found at the following web site: [IBM Corporate Documents - Corporate Policies](#)

ITS101 Information Technology Security Policy
DG101 Data Governance
CIO129 Asset Transformation for IBM Business Operations
FIN151 Application Systems Control and Auditability (ASCA)
FIN182 Management Self-Assessment of Control and Separation of Duties
GRA122 Responsibility for customs and import controls
F&O163 Global Asset Recovery Services
LEG116 Classification and Control of IBM Information

Business Continuity Planning Corporate Guidelines - [BPBC127 Guideline for Business Process - Area Business Continuity Planning](#)

Asset Protection Corporate Procedures

Asset Protection Corporate Procedures can be located at the following website: <https://w3.ibm.com/w3publisher/global-logistics/program-management/asset-protection>

Central Asset Tracking System (CATS)
Corporate Logistics Procedure (CP) 10.01 Excess & Surplus Parts Inventories
CP 10.12 Excess & Surplus Parts Inventories
CP 10.13 Asset Protection: Normal and Sensitive Parts Security
CP 10.15 Asset Protection: Returned Parts MES and EC
CP 10.17 Asset Protection: Precious Metal Control

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PLANNING: Reference Material (Continued)

Web sites

IBM Global Asset Recovery Services

[GARS WW - Global Asset Recovery Services \(GARS\)](#)

IBM Global Logistics

[Global Logistics](#)

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Scope	Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
External Sales of Used Equipment	High risk broker sales	Broker validation	Test broker validation Review aged accounts receivables and write-offs
	Lack of benchmark fair market value (FMV) to get assurance on reasonableness of sale price	Establishing FMV curves and requiring approval for deviations to FMV curves.	Focus on deviations to FMV curves and approval of exceptions.
	Auction of used equipment not performed equitably	Approval of reserve price for used equipment being auctioned Establish minimum number of bids and exception process when not met Audit trail of bids and approval of highest bid	End to end testing of a judgmental sample of auction transactions

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

B) Returned Inventory Management (RIM)	Misappropriation of returned assets	Physical security, physical inventory, asset disposal, separation of duties	Review physical security and test warehouse access control Review results of physical inventory, including approval of write-off Test the various types of asset disposals Review separation of duties assessment
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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Objective:

Do controls supporting the external sales process confirm (i) for broker sales: valid brokers were solicited and selected, a competitive environment existed, and that all brokers were treated in a fair manner; and (ii) for customer sales: validation of customers and competitive pricing?

Risk/Exposure:

Lack of control in external sales processes can allow:

Loss of revenue

- Not receiving the best price for parts, equipment, or systems.
- Selling parts, equipment or systems that affect sales of new product.

Legal ramifications

- Not treating brokers fairly.

Damage to IBM's reputation

- Not treating brokers fairly.
- Selling parts that should not be sold.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Broker Selection (ES001.P)

Objective:

To determine whether controls exist to support the broker selection process and confirm whether valid brokers were selected and solicited, a competitive environment existed, and that all brokers were treated in a fair manner.

Approach:

1. Review process documentation for broker selection and determine if controls supporting the broker selection process are effective to assure brokers are valid and selected fairly. In addition, review the process which periodically recertifies brokers to ensure continued broker integrity.
2. Determine whether the brokers management system (BMS) data base was accurate and updated in a timely manner and included all additions / deletions to the list of eligible brokers.
3. Determine whether all amendments to the BMS data base were for valid business reasons and reviewed and approved by management. Determine whether process documentation exists to provide Q2C with guidelines for making adjustments to the BMS data base and the inventory database.
4. Validate that rejected or revoked brokers are not utilized in daily operations.
5. Select a judgmental sample of active brokers and validate that all brokers were approved as per The Broker Management Process Document. Including, validation that the broker was matched against the Bureau van Dijk (BVD) tool.
6. If there were special payment terms granted to the broker, were there adequate approvals obtained? Validate that evidence of verifications were done prior to broker recertification.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Secondary Channel Sales Eligibility (ES002.P)

Objective:

To determine whether effective controls exist to administer sales activities and agreements in the secondary market. In addition, to determine whether optimal disposition of excess equipment (including individually sold parts) was obtained, and IBM's interests were preserved in these sales.

Approach:

1. Select a sample of IBM and non-IBM equipment (i.e., used PCs, servers, PSG excess, parts, etc.) which was sold during the audit period and test for the following attributes:
 - a. Verify that all approvals required by corporate instructions, procedures and guidelines for equipment sales in the secondary market were obtained.
 - b. Management system process for sensitive parts is done within CATS and GARS SAP systems. Sensitive parts are identified at the time of receipt. The information flows through an interface from CATS (sensitive parts system) to GARS SAP (inventory system). GARS SAP notifies that this is a sensitive part and require to include a serial number for APC4. The information flows to CATS through interface and sensitive part is monitored in the macro point (see Corporate Logistics Procedure (CP) 10.13 section 4.10).
 - c. Verify that sensitive parts (Asset Protection Classifications 4 and 5) have not been sold.
 - d. Equipment shipped ties to equipment ordered.
 - e. Sale of used (and/or excess, surplus, z-coded ref: CP 10.12) parts is performed in accordance with CP 10.13 and were advertised internally as required per CP 10.12.
2. All sales were recorded in a repository (i.e., database) for measurement purposes, and included complete information (i.e., date, part name and description, part number, quantity sold, weighted average cost, sale price, sale location, broker name and address, and trader name).

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Broker Sales Offering (ES003.P)

Objective:

Determine if management has an effective process to control the competitive bid process for broker sales.

Approach:

Select a judgmental sample of broker sales executed during the audit period selected and test for the following attributes:

- Determine if a process existed to obtain a minimum number of broker quotes prior to award of bid and if the process was being adhered to.
- Bids were properly controlled, and proper approval was obtained prior to award of bid.
- Broker was notified of bid award in a timely and accurate manner.
- Bid proposal offer dates were specific and any bid extensions adequately documented.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Broker Sales Agreements (ES004.P)

Objective:

Determine if standard terms and conditions (T&Cs) were used in establishing broker sales agreements and resale forms. If T&Cs were modified, verify that proper approvals were obtained.

Approach:

Validate the process used to prepare and manage broker sales agreements. Determine if the process allows for non-standard T&Cs. In addition, validate the following:

1. Was there a legal broker sales agreement in place for each broker selected from which broker sales could be administered?
2. Was the agreement signed by the broker and accepted by IBM (including IBM Legal) prior to the sale of equipment?
3. Were all pre-sale conditions met by each broker?
4. Were there side letters that altered the broker sales agreement? If yes, were they properly approved and administered? Were alteration requests submitted to the appropriate entry point contact referenced in the T&Cs deviations document (T&Cs deviations document can be viewed in the reference material section of the audit program)? Were the alterations subsequently reviewed and approved by the appropriate personnel?
5. Were all agreement amendments adequately documented and schedule expiration dates adhered to?
6. If there were special payment terms granted to the broker, were there adequate approvals obtained?

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Payment for External Sales (ES005.P)

Objective:

Determine if controls supporting the payment process for external sales were effective.

Approach:

1. Validate if the information recorded during external sales activity accurately reflects what was ordered and shipped.
2. Determine if payments from customers and brokers were received and logged in an IBM bank account prior to shipment of equipment and matched the invoice amount.
3. Determine if the payment method used by customers and brokers (i.e., credit card, cashier's check, company check, wire transfer) was valid and verify that payments were made to the correct bank account number.
4. Validate that all customer and broker payments were reviewed and approved by management in accordance with the guidelines.
5. Validate sales tax requirements were being met.
6. Determine that the total number of checks and value cashed from customers and brokers reconcile to the total number of checks on the payment advice notice.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Cash Receipts (ES006.P)

Objective:

Determine if checks are accepted for payment of external sales. If yes, then determine if incoming checks were sufficiently safeguarded and deposited promptly. This activity should be minimal when customers and brokers were instructed to remit payments to a post office lock box.

Approach:

1. Perform an unannounced review of all checks on-hand for one day and verify that all of the checks were restrictively endorsed.
2. Review the daily check log to determine the volume of checks received during the audit time period. Select a sample of days where the check log was not prepared or was not signed by management and test to ensure that all checks were deposited promptly and included as part of the daily cash reconciliation.
3. Validate that all incoming, external mail, which would include incoming checks, was opened in one central location. Determine if controls supporting the payment process for external sales were effective.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 1. External Sales

Primary Test: Retail Sales (ES007.P)

Objective:

Determine if controls supporting Retail Sales adhered to the current sales guidelines in place.

Approach:

1. Was request received and contract properly created (correct machine types, software)? Was a sales request submitted to Quote to Cash (Q2C)?
2. Was pricing approved per the delegation?
3. Validate that agreement has been signed and dated by both parties.
4. Determine if contract has been altered or any side letters exist (written, verbal, etc.) that would alter the terms and conditions.
5. Was work order (W.O.) issued prior to releasing the sales order?
6. Was the order form properly processed? (customer name, machines type model, part number, ship to address, etc.).
7. Ensure payment terms were adhered.
8. For the samples selected, were these purchased from third parties? If so, was there a valid purchase agreement prior to receipt of the used equipment, approvals per delegation, and a completed purchase checklist?
9. Was the used equipment shipped from IBM warehouse prior to recognition of revenue?
10. Check if there is OEM equipment sourced from third parties, if yes and the value of OEM equipment are higher than \$100K, was the gross versus net template submitted to Accounting for review?
11. Was revenue recognized accurately for both partial or full shipment of retail sales transactions?

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 2. Pricing Requirements

Objective:

Does management have effective controls in place to monitor equipment pricing?

Risk/Exposure:

A defective process to control and oversee equipment pricing can result in inaccurate management reporting, lost opportunities, and excess cost.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 2. Pricing Requirements

Primary Test: Pricing (PR001.P)

Objective:

Determine if pricing delegations are properly documented and adhered to for pricing equipment during the audit period selected and have been communicated to the affected operating units with clearly defined limits, responsibilities, ownership, and reporting mechanisms along with appropriate education. In addition, verify that the price communicated to the customer was consistent with the approved price, was offered after approval, and was invoiced to the customer and recorded to IBM's financial statement.

Approach:

1. Conduct reviews with management in order to understand the delegation of authority for pricing equipment and the pricing strategy. Validate delegation levels and for each equipment sale sampled, verify the following attributes:
 - a. That the price offered and committed was approved and within the delegated limits of the pricer prior to being offered or communicated to the customer.
 - b. That, where the individual's level of price delegation was exceeded, appropriate level of management approval was obtained prior to releasing an offer.
 - c. That the price included all cost considerations (refer to Accounting Practice 25), was developed in accordance with published methodologies (see guidelines for sales in the secondary market and other reference material) for pricing used equipment, and the pricer utilized approved pricing tools.
 - d. That the price was offered and communicated on the appropriate document or broker sales agreement.
 - e. That independent review of the pricing activity was performed where necessary in cases of conflicting duties.
 - f. That price adjustments, concessions, and revenue credit activities after the offering to the customer and/or after completion of the transaction did not impact the originally committed price in a way inconsistent with pricing delegation.
 - g. That price overrides / changes are properly controlled (authorized, accurate, monitored) and final price is consistent with approved price.
2. Review concessions, customer credits, revenue reversals, and revenue adjustments against the initial contract, price release and invoice to determine impact on profit and management action.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 3. E-Business

Objective:

To ensure that the e-business (internet) application developed and deployed under the guidelines of Website GO and Business Transformation Management System. Also, to ensure that the e-business application is Global Web Application (GWA) certified and hosted in a Global Web Application environment.

Risk/Exposure:

Compliance with Website GO and BTMS ensures the application meets the 'One IBM' image and is consistent with IBM's technology, security and privacy guidelines and is a justified investment of IBM resources. Ineffective controls may result in an unjustified expenditure of IBM resources, negatively impact IBM's image through failure to provide adequate support, control access to or protect IBM or customer data.

Failure to host the application within the GWA environment may negatively impact customer satisfaction and IBM's image due to failure to meet application availability, performance or support guidelines and may result in a negative financial impact if not consistent with IBM's technology strategy.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 3. E-Business

Primary Test: E-Business (EB001.P)

Objective:

To ensure that the e-business (internet) application developed and deployed under the guidelines of Website GO and Business Transformation Management System. Also, to ensure that the e-business application is Global Web Application (GWA) certified and hosted in a Global Web Application environment.

Approach:

- Review the web applications that are currently deployed and determine what manual or system processes they replaced. Ensure all control points originally included in replaced manual or system processes have been incorporated in newly designed web applications, and that no additional control points are required as a consequence of moving to an e-business approach.
- Ensure plans for implementation of e-business applications clearly focus on inclusion of all required control points; and that all controls are detailed in implementation test plans.

Note: This relates to the process shift and not the application which is covered in the process application review.

- Review current business process changes in relation to adapting to the web environment. This may include changes and/or elimination of manual processes, changes to the development and/or test process, changes in the SOD assessment, changes to database(s) used to classify and aggregate data, and changes in data transmission methods over the web.
- Determine if web applications or sites were developed and deployed in compliance with Website Go and the Business Transformation Management System and are hosted under the Global Web Architecture guidelines.
- Determine if there are any direct connections to other entities and networks. If there are connections, ensure they are reviewed and certified per the requirements in the Inter-Enterprise Services (IES) guideline ITCS302.
- Review access to IBM systems and verify that destination points are configured to prevent users from "hopping" to systems to which they are not authorized.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 4. Credit Evaluation

Objective:

Did the credit evaluation process ensure that financing risk was effectively managed, and credit decisions were properly supported?

Risk/Exposure:

Sound credit evaluation is critical in ensuring that the customer or broker is credible and has the ability to pay their outstanding balances. If sound credit evaluation practices are not followed, the customer or business partner may default on the accounts receivable resulting in a loss of assets to IBM.

Note: With the setup of IBM Credit as a separate entity, please take note that the credit evaluation service which continue to be provided by IBM Credit will be considered as a service provided by external party. Inter-company billing will be issued by IBM Credit to IBM for all the credit evaluation service provided to transfer the cost accordingly.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 4. Credit Evaluation

Primary Test: Credit Risk Management (CE001.P)

Objective:

To ensure that credit risks associated with customer agreements were properly evaluated and documented in accordance with management directives and prior to the execution of the contract. Further, to ensure that all credit decisions were made by the IBM Global Financing (IGF) Credit organization in the corresponding country or geography.

Approach:

If possible, review the total population of credit agreements and identify any exceptions where credit evaluations and the related lines of credit were not conducted and approved by IGF Credit.

In addition, select a judgmental sample of customers and test for the following attributes:

- Were credit decisions made by IGF Credit for all IGF purchases?
- Were credit decisions made by IGF Credit for all Services transactions with an "exposure" greater than the clip level dictated by the credit directives?
- Were credit decisions made by IGF Credit for all S&D and other purchases with an "exposure" greater than the clip level dictated by the credit directives?
- Has the Regional Credit Officer (RCO) lowered the "exposure" limits? If yes, were the new limits adhered to?
- Was credit granted in accordance with the authorized credit line approved by IGF Credit? If no, was the credit evaluation override authorized by delegated business unit personnel and was the Director, IGF Global Credit Operations (for IGF and IGS deviations) or RCO (S&D and other purchase deviations) notified as required?
- Were all contractual obligations fulfilled by the customer or business partner prior to credit being approved? For example, direct debit authorization from a customer or business partner with a poor credit rating.
- Was any customer's total exposure (NIB + A/R) greater than the Target Enterprise Exposure Hold Levels stated in credit directive?

For any customers that were exempt from credit checking, was the exemption documented and reasonable?

Were controls effective to prevent customers or business partners from being added to a list where there would be no credit evaluation?

Select a sample of customers and business partners who went bankrupt and determine if a proper initial credit evaluation was performed.

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Objective:

- Is there an effective management review process to ensure that all revenue is recognized in the financial statements in accordance with generally accepted accounting principles, accounting practices and instructions?
- Is there an effective process for matching cost to revenue to ensure the integrity of cost/revenue recording and gross profit reporting?
- Is there any evidence of improper practices in any of the shipments or other activity for which revenue has been recognized?
- Are there financial controls for the external sales of used equipment process?

Risk/Exposure:

Inaccurate cost and revenue reporting could have a significant negative impact upon the integrity of the IBM financial statements.

Even if automated systems record cost and revenue in the general ledger from billing and inventory movements, it is still necessary to perform a detailed match between individual cost and revenue records, to ensure that the process is functioning correctly. Any aged, unmatched items might indicate a lack of processing integrity and/or associated administrative problems.

Where revenue recognition is not triggered by system interfaces, (for example services revenue and systems integration contracts) there is a risk that achievement of measurement targets or commission incentives may encourage misstatement of revenue.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Primary Test: Revenue Recognition (RC001.P)

Objective:

Verify revenue and costs are recognized accurately in accordance with generally accepted accounting principles and accounting practices, in the appropriate period.

Approach:

- It is key that the revenue recognition rules relevant to the contract and products, or services being reviewed are understood. See the references section of this document for applicable accounting instructions and practices.
- Perform a process control interview with the appropriate accounting management and verify the current revenue recognition methodology.
- Review monthly revenue ledger entries to confirm methodology and ensure revenue is recorded in accordance with accounting practices.
- Select a sample of contracts (based on the product or service being reviewed) using extracts from the Ledger or a universe of contracts where available. If contract data cannot be obtained, select a sample of invoices from the Ledger and request the contract and all associated invoices. Focus on quarter-end, year-end activity, high -dollar transactions, and special contracts.
- Verify that there is a process to report revenue that was not properly recognized to the appropriate HQ Accounting organization and that management has visibility to this activity. Determine if there is evidence that root cause analysis is performed and that corrective actions are taken as appropriate.
- Concessions (write-offs/expenses), rather than revenue reversals (or reductions), were recorded for instances in which IBM met its contractual obligation to the customer but decided that a credit to the customer was required in the interest of customer relations.
- In the case of deviations identified within revenue recognition, verify the validity of related commission payments and bonuses.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Primary Test: Revenue and Cost Accruals (RC002.P)

Objective:

Verify that revenue and cost accruals are in accordance with generally accepted accounting principles and IBM practices.

Approach:

- Obtain copies of income and expense report schedules and supporting sub-schedules to review monthly accruals.
- Select a sample of revenue and cost accruals from the ledger. Focus on quarter-end, year-end activity, and high dollar transactions.
- Are the revenue and cost accruals supported by analysis showing how the accrual levels were determined?
- Does the accrual method clearly show that only relevant transactions for the period have been included and that none are taken for the following period?
- Where revenue accruals are recorded, is there a control process which ensures that the accrual is reversed when the actual revenue is recorded, and tracks the length of time that the accrual remains on the books?
- Is the accrual methodology consistent with the terms of the contract?
- Is there any evidence that accrual adjustments are being made without appropriate management approval?
- Were the accruals based on reasonable and documented valuations?

NOTE: Special attention should be given to revenue accruals relating to business partner activities.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Primary Test: Revenue and Cost Measurements (RC003.P)

Objective:

Are measurements in place to provide management with visibility of operational efficiency? Are exception conditions identified, reported, and properly handled?

Approach:

- Do measurements exist to gauge operational efficiency and process exceptions?
- Is a gross profit analysis being performed which would identify exceptionally high or low gross profit ratios and could indicate problems with cost/revenue recording? Are the exception conditions investigated, documented, and corrected if found in error (country clip levels must be taken into consideration)?
- Is there a cost/revenue match process? (i.e., are there contracts with costs but no revenue, or revenue with no costs?) Are there exception reports produced to monitor this activity and are revenue or cost accruals being recorded when appropriate?
- Is there management visibility to all measurements and exception activity?

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Primary Test: Financial Controls (RC004.P)

Objective:

To determine if financial controls are effective for the external sales of used equipment process. In addition, to validate that proceeds are properly recorded in the ledger for all equipment sales.

Approach:

- Validate that all sales proceeds were recorded in the ledger accurately and in a timely manner.
- Validate that ledger entries were accurate and made in a timely fashion for revenue and cost.
- Test for accurate, proper and timely credit for equipment returned from customers or short shipped to customers.
- Validate whether actual recoveries received are compared to trends and/or estimated recoveries.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 5. Revenue and Cost

Primary Test: Reconciliations (RC005.P)

Objective:

To verify that reconciliations are performed showing that the logistics, cost systems, sales databases, and ledger are synchronized. To ensure that reconciliations are in adequate detail, performed on a monthly basis, and reconciling items are followed up in a timely manner.

Approach:

- Determine if there are effective reconciliations for the external sales of used equipment sales process.
- Review ledger reconciliations for sales transactions, revenue and cost.
- Test for the reconciliation of the sales transaction database with revenue recorded in the general ledger.
- Select three months reconciliations and review for approvals, timeliness, and valid resolution of open items. In addition, determine that all variances were identified, tracked, and resolved in a timely manner.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Objective:

To validate if operations were adequately managed to verify compliance with the Export Regulation Office (ERO) United States Export Regulation Program (USERP) requirements, and corporate and local procedures governing export compliance requirements.

Risk/Exposure:

Delivery of hardware, software, or technology to entities in certain countries that are directly or indirectly involved in nuclear, chemical and biological, guided missile, and military activities, without prior US Government authorization, can result in fines and penalties, potential loss of export privileges, and severe damage to IBM's reputation.

Failure to have sufficient export terms could result in breach of contractual agreements when IBM has export compliance concerns about the legality of a transaction.

Failure to comply with IBM's export regulation compliance requirements could cause regulatory issues; resulting in fines and penalties, and the potential loss of IBM's privilege to engage in business operations on a global basis that fall under the jurisdiction of the regulations.

Failure to comply with IBM's export regulation compliance requirements could cause regulatory issues; resulting in fines and penalties, and the potential loss of IBM's privilege to engage in business operations on a global basis that fall under the jurisdiction of the regulations. Specifically, export shipment transactions with or involving entities on the Denied Parties List may result in export regulation compliance incidents.

Lack of awareness of export and import regulation compliance obligations and requirements can result in internal control errors and omissions leading to regulatory problems.

Participation in boycotts not authorized by the US Government, and for failing to promptly unauthorized boycott requests, when received, can result in regulatory problems, fines and penalties, including tax penalties, and severe damage to IBM's reputation.

Failure to retain export compliance related records is a violation of the export regulations, which can result in fines and penalties, and subject IBM to extended official scrutiny in the event of IBM failing to provide records when requested or required.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Proliferation Screening (EC001.P)

Objective:

To determine if operations were adequately managed to prevent delivery of products for prohibited missile, chemical & biological weapons (CBW), and nuclear activities.

Approach:

Review the guidance in USERP Section 5, Part 2.

- Was there a procedure for identifying customers and suppliers engaged in missile, CBW, nuclear activities, or indication of military end-users or uses?
- For new customers and suppliers:
 - Select a sample of new customers and suppliers established in the audit period.
 - Were new customers and suppliers screened by the responsible organization prior to being entered into the master records or engaging in any transaction with the party?
 - Was the screening performed by an individual knowledgeable about the customer or supplier's business activities?
 - Was the screening document signed and dated by the person responsible for performing the screening?
- For established customers and suppliers:
 - Was there a process for annual rescreening of customers suppliers, or whenever the customer or supplier's proliferation status is known to have changed (whichever comes first)?
- Did the procedure require that transactions with customers or suppliers found to be engaged in missile, CBW, specified sensitive nuclear activities, or indication of military end-users or uses to be immediately suspended and escalated to the responsible operating unit ERE/ERC?
- Did the procedure require that transactions with such entities proceed only if, and in the manner, authorized by the Export Regulations Office (ERO)?

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Contract Language (EC002.P)

Objective:

To ensure that all contracts contain a basic export clause.

Approach:

Review the ERO's guidance on Export Language for Customer and Business Partner Agreements, published on the ERO's site on W3. All agreements signed by GARS should include an export compliance term, whether the agreement is on IBM or customer/business partner paper. The appropriate term varies with the type of agreement being executed. Requests for any major modifications require review and approval by IBM's Government and Regulatory Affairs counsel.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Classification (EC003.P)

Objective:

To confirm that products to be exported, re-exported, or delivered were eligible to receive by the recipient (including any known ultimate end-user) prior to export and any necessary licenses or authorizations were obtained.

Approach:

- Were there documented processes for determining product classifications for all sales?
- Has the ECCN of a product been assessed to ensure the ultimate end-user is eligible to receive the offering prior to export?

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: DPL Screening (EC004.P)

Objective:

To ensure that all GARS operations are adequately managed to prevent transactions (including purchases) to entities on the IBM Denied Parties List (DPL).

Approach:

Are there written procedures describing how DPL screening is executed for all known parties to a transaction and do the procedures apply to all transactions (both sales and purchases):

- The procedure requires that all transactions be suspended when a DPL match is identified until/unless the match is resolved.
- Screeners have received education on DPL screening responsibilities and requirements and are able to explain what they are doing and why they are doing it.
- DPL screenings are documented with the date the screening was performed and the identity of the person conducting the screening.
- The screenings are conducted in accordance with the provisions of USERP Section 4, Part 1.2.1 (DPL Screening Guidelines).
- The procedure describes the process for evaluating potential DPL matches, including communication of potential matches to relevant functions, the process for stopping or suspending affected export/re-export shipment operations, and escalation to the responsible operating unit ERE, ERC, or the ERO, as necessary.
- Controls or measurements are in place within the Global Logistics control tower organization that monitor Global Logistics supplier's use of the IBM Denied Parties List (DPL), ensuring consistency with IBM requirements and the supplier's responsibilities on behalf of IBM.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Export Education and Awareness (EC005.P)

Objective:

To ensure that all persons executing export compliance responsibilities receive yearly export education and that such education is appropriate to their job role.

Approach:

Review the education requirements in Section 2, Part 2.5.1 of the United States Export Regulation Program (USERP).

- Did the location's internal control program describe requirements for management's statement of support?
- Was the letter issued by the operating unit's senior manager (i.e., General Manager, Senior Location Executive, Global Process Owner)? Did it include the following points:
 - No export or import transaction contrary to the regulations were to be made.
 - Knowledge of an export or import violation, actual or potential, was to be reported to the ERE/ERC or IRE as appropriate.
 - Penalties for noncompliance were serious.
 - Refer questions relating to compliance to the ERE or IRE (as appropriate). Indicate name, telephone number, and system ID.
- Did the operating unit's key compliance persons complete yearly export education responsive to their role and the export activities within their operating unit?
- Has the ERC certified that the yearly education for key export compliance persons is complete and included the required topics?
- Did customer facing personnel receive yearly education as detailed in USERP Section 2, Part 2.5.1?
- Were new employees with key responsibilities for export compliance included in the plan and was education delivered timely?

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Boycotts (EC006.P)

Objective:

To determine if operations were adequately managed to verify that GARS did not comply with non-sanctioned boycotts and that any boycott requests received were promptly reported to the responsible legal representative and management.

Approach:

- Were boycott reporting requirements included in any Procurement related export regulation compliance education and/or guidance?
- Was there a written procedure describing controls for the identification and reporting of boycott requests?
- Did the procedure require immediate reporting of boycott requests?
- Did the procedure identify specific areas where boycott requests could be received?
- Had there been any boycott requests within the audit period? If yes:
 - Were the requests reported to management, Legal, and the responsible country or location ERE/ERC?
 - Were the reports made promptly?
 - Did the reports provide all the required data elements described in USERP Section 5, Part 2.6?

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CONTROL ASSESSMENT QUESTIONS – EXTERNAL SALES OF USED EQUIPMENT

Key Control Question: 6. Export Compliance

Primary Test: Records Retention (EC007.P)

Objective:

To ensure records documenting compliance with the IBM export regulation compliance requirements produced by GARS are being retained in accordance with the requirements of USERP Section 2, Part 2.6.1. IBM's Worldwide Records Management Plan (WRM) also describes records retention periods which confirm with applicable regulations. Operating unit record retention requirements for all export related records, including any boycott records, is five years.

Approach:

Record retention requirements need to reflect the record categories, as described in USERP Section 2, Part 2.6.1 and the WRM Plan, and the five-year retention period.

Records subject to this requirement may be retained in any reasonable manner, hardcopy, or softcopy, as long as the retention method and storage location meets all of the following criteria:

- Active locally retained records are to be stored in a location that is easily and readily accessible in the event of audit, review, investigation, or other valid request. An individual employee's workstation hard drive is not sufficient for this purpose.
- Inactive records must be stored in archive locations or repositories that are known to the operating unit such that they can be produced in a timely manner in the event of audit, review, investigation, or other valid request.
- Operating units need to ensure that authorized access to all active and inactive records is available to enough appropriately designated local persons, not just to the operating unit ERE and ERC, so that records can be retrieved in the event of the absence or the incapacity of the operating unit's ERE or ERC.
- All records subject to this requirement are kept for the mandated retention period.

These requirements apply to all records subject to this section and are independent of the duration of the IBM employment or related assignment tenure of the IBM originators of those records,

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 1. Equipment and Parts Returns

Objective:

Was all returned equipment fully configured when returned, including features, parts and upgrades, and accurately updated in the applicable applications?

Risk/Exposure:

Financial loss and misuse of proprietary information could result from (i) equipment returned without all of the features, parts and updates; (ii) incomplete verification of returned equipment; and (iii) inaccurate update of the returned equipment in the applicable applications.

Note: For leased equipment, Client Financing is responsible to get the equipment returned to IBM at the end of the lease. The RIM process commences on delivery of the equipment and parts to the IBM warehouse. Please note that with the setup of IBM Credit as a separate entity, the ownership of the returned equipment must be transferred from IBM Credit (Client Financing) to IBM (GARS) for RIM process to be initiated.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 1. Equipment and Parts Returns

Primary Test: Asset Verification (RT001.P)

Objective:

Were all assets (leased machines) and associated features and parts returned to IBM at the end of lease or early end of lease. If an asset did not contain all features, did a process exist to obtain the feature, or recover the value of the feature?

Approach:

Review and understand the process to verify, report, and resolve returned equipment that was missing parts and features that did not match the IBM asset record. If a tracking and reporting process did exist, review reports for the audit period and determine if all assets identified as missing parts and features were resolved. The process should define how the asset is to be resolved based on asset value and frequency of occurrence by the customer.

- Validate that there were reports that identified actual versus expected machine and MES returns from the field and the age outstanding. Also, for any aged items, verify that there was evidence of continuous follow-up between the location and the field.
- Select a sample of returned machines and returned MES and determine if proper action was taken when there were discrepancies between what was expected (planned) to be returned versus what was actually returned.
- Validate if damaged billing was assessed and communicated to End of Lease Business Support Operations (BSO) for processing.
- Verify if damaged billing amount was recovered from IGF correctly and timely.
- For any asset written-off, verify that independent review and approval was obtained.
- Select equipment that had been returned where parts and features had been removed prior to returning equipment to IBM. Determine if parts or features were properly accounted for and were not written off. IBM logo product do not go through AVT upon receipt, only physical inspections. Assets that are allocated to orders are inspected and tested during the remanufacturing process. OEM is inspected and verified upon receipt to identify if machine is operational and complete.

Notes:

- For leased equipment, Client Financing is responsible to get the equipment returned to IBM at the end of lease or early end of lease.
- Continuation billing is audited and tested in the Client Financing Audit Program (Test EO001.P.).
- The control for execution of the damaged billing is in the Client Financing process.
- Client Financing process is under IBM Credit as a separate entity since 1Q2017. Determine if DOU/agreement was established between IBM and IBM Credit and all requirements were complied.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Objective:

Were all IBM used equipment and used or excess parts being managed by Global Asset Recovery Services (GARS) (i) stored in a secure location, (ii) tracked and periodically inventoried, (iii) sold, impaired, or disposed in a timely manner; and (iv) correctly valued in the ledger?

Risk/Exposure:

Used equipment and parts managed by GARS that are not properly secured and tracked, not sold, impaired, or disposed in a timely manner, or incorrectly valued, may result in financial or intellectual property loss and financial misstatement.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Primary Test: Inventory Utilization (IM001.P)

Objective:

To verify that the inventory of equipment on hand and available for sale or lease is communicated to the marketing function and that aged equipment is reviewed and disposed of as appropriate.

Note: This test will only be applicable where Remanufacturing is occurring and returned inventory is being leased again or sold.

Approach:

- Determine if a process exists to communicate the inventory of available equipment to the marketing function.
- Determine if there was a process to identify aged inventory which may no longer be required. Request a summary of total pieces in inventory and total pieces in inventory over one year. If percentage of aged inventory was excessive, or there was aged obsolete equipment, determine if this aged equipment was identified with action plan for use or disposal of this equipment. Note: There must be adequate visibility as to the status of aged, returned inventory. There is judgment involved in determining the optimal point in maximizing the selling price versus minimizing the inventory levels. Should inventory storage costs be low, management can afford to take more risk and try to get a higher price for the returned inventory.
- Select a sample of machines and compare the current price list versus the price list from four months ago. Test for reasonableness. The price trend for similar machines should be the same.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Primary Test: Delinquent Inventory (IM002.P)

Objective:

To verify that equipment due back from either the service providers or other IBM locations was promptly returned.

Approach:

Review and understand the process used to identify and track used equipment and parts within the RIM process that is due back from service providers, other IBM locations or external suppliers. If the process results in the reporting and aging of inventory that is scheduled to be returned or moved to the next step in the applicable process, determine the trend and attainment of established objectives. Validate data to confirm the accuracy of the reporting. Analyze positive or negative trends, were objectives being met, if so, no further testing may be required.

Note: This test is not related to return of equipment from customers at end of lease.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Primary Test: Physical Inventory Counts and Reconciliations (IM003.P)

Objective:

To determine if local inventory controls: count methodology and management review is complete. In addition to ensure that all physical inventory counts, and reconciliations are performed, approved and any issues resolved.

Approach:

- Determine the various types of physical inventories detailed in the processes – recurring inventory counts, annual physical inventories, physical inventory of sensitive parts, etc.
- Obtain the documentation, management approvals, action plans and root cause analysis for selected physical inventories to determine completeness of the physical count, reconciliations, root cause analysis, management approvals, update of inventory systems, and write-off of inventory that could not be found.
- Select a sample of returned machines from the last physical inventory and validate that the machine was accurately reflected in the GARS system(s) used to control inventory. The machines should be: still in inventory, shipped, scrapped, or the machine assumed another identity. The purpose is to ensure that the machine can be accounted for subsequent to the taking of the physical inventory. Also, validate that there is adequate documentation to support the taking of the physical inventory.
- For the samples selected, were these purchased from third parties? If so, was there a valid purchase agreement prior to receipt of the used equipment, approvals per delegation, and a completed purchase checklist?
- Validate that there are ongoing inventory reconciliations performed between the site's and/or vendor's inventory system and the GARS inventory system with appropriate reporting, follow-up, and management visibility.
- Select aged unresolved items from recent physical inventory counts and reconciliations. Review supporting documentation to determine if these items were accurately identified, aged, reported and effectively escalated to the responsible person.
- Perform a physical count of inventory if deemed necessary.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Primary Test: Pended Inventory (IM004.P)

Objective:

To verify that equipment that has been returned but was not due was identified and promptly resolved.

Approach:

- Determine the process used to track equipment received from the customer, or IBM, for which there is no matching RICS record (RICS is the US tracking system, use whatever system applicable). If the process results in the reporting of pended inventory, determine the trend and attainment of established objectives. Test measurements for accuracy, determine if trends are favorable, and objectives are being met, then determine if further testing is required.
- Validate that there is a process to handle unexpected returns, including root cause analysis, and communication to materials management.
- Select equipment that had been received and pended for over 90 days awaiting the corresponding RICS record. Request supporting documentation that demonstrates that there was prompt initial action, and adequate follow up and escalation to ensure a prompt resolution.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 2. Inventory Management

Secondary Test: Aged Reconciling Items (IM005.S)

Objective:

To ensure that equipment is accurately reflected in system records, and that variances are identified, tracked, aged, reported, and escalated in order to ensure appropriate resolution.

Approach:

Select aged unresolved items from recent reconciliations. Review supporting documentation to determine if these items were accurately identified, aged, reported, and effectively escalated to the responsible person.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 3. Physical Security

Objective:

Do sufficient and effective controls exist within the re-utilization organization and at outside (leased) storage to safeguard IBM assets during receipt, internal movement, storage, dismantle, and shipment?

Risk/Exposure:

Lack of adequate controls over specifically defined space could result in a loss of proprietary and physical assets or create a work environment which is not secure for personnel and their property.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 3. Physical Security

Primary Test: Physical Security (PS001.P)

Objective:

Determine if processes exist and controls are effective to validate assets are protected, accesses to restricted spaces are properly approved and reviewed by re-utilization management as appropriate. In addition, mechanisms are installed and effective in safeguarding assets from fire, loss, and theft.

Establish whether there is proper physical security in place to protect sensitive parts per Corporate Logistics Procedure (CP) 10.13.

Verify the process for investigating a lost sensitive part includes timely recognition, investigation, and reporting as per CP 10.13.

Approach:

Perform a walkthrough of the facility to verify the following attributes:

- Vehicle access (external trucking) to all docks is controlled.
- Receipt of parts, systems and equipment is properly recorded.
- Movement of items from receiving to storage is controlled and prevents loss.
- Badge reader classes validate proper employee access to restricted areas.
- Secured storage spaces are identified for precious metals and other sensitive items.
- Alarms are installed and operative in restricted areas to safeguard items from fire, loss, and theft.
- Security reviews are conducted by organization and site security.

Review security incident reports for the last twelve months to determine if any loss of assets can be attributed to deficient security measures. Also review the most recent security review by site security personnel. If recommendations were made as a result of the review, determine if corrective measures were implemented. Additionally, review write-offs in reconciliations of inventory to determine if excessive write-offs occurred due to missing equipment.

Obtain documentation that describes the levels of physical security employed (basic, interior space with additional controls, and restricted), and specific areas where sensitive parts are present.

Review CP 10.13 documentation provided and tour areas in which sensitive parts are held. Determine if local measurements are in compliance with CP 10.13, and that physical security is appropriate. Refer to and review the Security manual where needed.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 4. Sensitive Parts

Objective:

Were sensitive parts controlled in accordance with the requirements as defined in Corporate Logistics Procedure 10.13?

Risk/Exposure:

Failure to comply with the additional safeguards required for controlling sensitive parts could expose IBM to a loss of assets and proprietary information.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 4. Sensitive Parts

Primary Test: Sensitive Parts - Security (SP001.P)

Objective:

To determine if proper physical security is in place to protect sensitive parts per Corporate Logistics Procedure (CP) 10.13.

To determine if the local process for investigating a lost sensitive part ensures timely recognition, investigation, and reporting as per CP 10.13.

Approach:

- Obtain documentation which describes the levels of physical security employed (basic, interior space with additional controls, and restricted), and the specific areas which sensitive parts are present. Review CP 10.13 documentation provided and tour areas in which sensitive parts are held and determine if local measures are in compliance with CP 10.13 and that the physical security in place is appropriate. Review and refer to the Security Manual where needed.
- Obtain the following:
 - Process documentation for reporting of a lost part to Management and Security. Compare process with CP 10.13 to determine if it meets requirements; and
 - A listing of all lost sensitive parts during the audit period to determine if lost parts were identified and reported promptly and accurately entered into the Corporate Asset Tracking System (CATS) and the Corporate Security Information System (SIMS) per CP 10.13 requirements.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 4. Sensitive Parts

Primary Test: Sensitive Parts - Returned Machines (SP002.P)

Objective:

To ensure that the returned machines process meets Corporate Logistics Procedure (CP) 10.13 requirements, reapplies or dismantles/salvages parts from machines in a timely fashion, and adequately protects IBM assets.

Approach:

- Obtain process documentation which describes the returned machines process from point of receipt through re-application or dismantle/salvage.
- Observe the storage area for returned machines pending re-application or dismantle. Determine if the physical security of the area meets requirements in CP 10.13.
- Obtain listing of on hand at plant (OHAP) inventory, check actual vs. records, check that OHAP inventory is managed on a timely basis and doesn't age.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 4. Sensitive Parts

Primary Test: Sensitive Parts - Returned Parts (SP003.P)

Objective:

To ensure that the returned parts process meets Corporate Logistics Procedure (CP) 10.13 requirements and adequately protects IBM assets.

Approach:

- Obtain process documentation which describes the returned parts process from point of receipt through re-application or dismantle/salvage.
- Ensure used parts that are kept for reuse are properly inventoried.
- Observe the storage area for pending re-application or dismantle, impairment or scrap, and determine if the physical security of the area meets requirements in CP 10.13.
- Obtain measurements of "re-utilization" cycle time vs. target, either reapplied to an order or dismantled, impaired, and/or scrapped for component parts and residual materials.
- Observe sensitive parts in receiving and determine if properly tamper evident packaged upon receipt and, if exceptions are noted that a process is in place to ensure the shipper's management, local management, security, and finance are notified of the variance.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 4. Sensitive Parts

Primary Test: Sensitive Parts - Tracking (SP004.P)

Objective:

To determine if the methodology employed for the tracking of sensitive parts meets the requirements as defined in Corporate Logistics Procedure (CP) 10.13 and results in the proper updating of Corporate Asset Tracking System (CATS).

Approach:

- Obtain process documentation which describes the movement of sensitive parts through the location of Asset Protection Classifications (APC) 4 parts (also for APC 1, 2, and 3 if different from APC 0). The process should include "Macropoint" definition and describe linkages between the Local Asset Tracking System (LATS), local logistics system and CATS.
- Obtain part number and quantity listing of sensitive parts inventory from logistics system, select sample and compare to the LATS and CATS records. They should all be equal.
- Obtain listing of sensitive parts transactions consumptive (APC 4), transferred (APC 4), or final disposition (APC 3 or 4) from local records and compare to CATS to ensure that these transactions were reflected in CATS within one business day.
- Determine if a reconciliation process (between LATS and CATS) is in place, effective, and has management visibility as per CP 10.13.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 5. Remanufacturing and Demanufacturing

Objective:

To determine if the processes and controls for remanufacturing and demanufacturing of used machines and used or excess parts maximizes revenue and minimizes cost for these assets, protects IBM's intellectual property, and complies with corporate policies and procedures related to parts and environmental matters.

Risk/Exposure:

Ineffective processes and controls for remanufacturing and demanufacturing could result in financial loss to IBM, misuse of assets and proprietary information, and non-compliance to environmental requirements.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 5. Remanufacturing and Demanufacturing

Primary Test: Remanufacturing and Demanufacturing (RD001.P)

Objective:

Processes and controls for remanufacturing and demanufacturing of used machines and used or excess parts maximizes revenue and minimizes cost for these assets, protects IBM's intellectual property, and complies with corporate policies and procedures related to parts and environmental matters.

Approach:

- Establish if remanufacturing or demanufacturing is being performed and, if so, obtain the processes and details of the service providers.
- Obtain detailed management reports and measurements of remanufacturing and demanufacturing activities during the audit period. Compare actual results to forecasts and trends and obtain a detailed explanation of variances.
- Review contracts with service providers, universe of remanufacturing and demanufacturing transactions, service levels, any reviews performed by IBM, and compliance to IBM policies and procedures.
- Determine how service providers are informed of and monitored for compliance to IBM policy and procedures applicable to used equipment and parts, such as those specified in corporate policies and procedures for parts, sensitive parts, precious metals, impairment and scrapping, logistics, environment, etc.
- Determine and review the process for selection of equipment and parts to be remanufactured or demanufactured, including criteria for automatic scrapping of certain equipment and parts.
- Determine and review the process for the return of equipment and parts to IBM to be re-utilized such as refurbished machines, certified service parts, etc.
- Determine and review the process for the disposal of equipment and parts as scrap, precious metals, etc.
- Determine the pricing, including intercompany pricing, applicable to transfer-in-price and transfer-out-price of used equipment and parts processed for remanufacturing or demanufacturing.
- Select and test a judgmental sample of remanufacturing and demanufacturing transactions.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 6. Scrap and Disposal

Objective:

To determine if the process for final disposition of used parts and machines adequately protects returned IBM assets? Was the process for impairment or scrapping of parts at vendor locations performed in accordance with Corporate Logistics Procedure 10.13 to protect IBM's interests.

Risk/Exposure:

Ineffective controls in the tracking of items scheduled for scrapping and disposal could result in financial loss to IBM and misuse of assets and proprietary information. In addition, IBM's competitiveness could be impacted through the loss of parts scrapped or disposed of that still have value.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 6. Scrap and Disposal

Primary Test: Final Disposition - Scrap (SC001.P)

Objective:

To determine if the process for the final disposition of all used parts and machines (including sensitive parts) adequately protects returned IBM assets.

Note: This test will only be applicable where Demanufacturing is occurring and returned inventory is being disposed.

Approach:

- Determine if a process exists to ensure final disposition is carried out in accordance with Corporate Logistics Procedure (CP) 10.12 and CP 10.13.
- Ensure that all scrapped parts were properly approved.
- Ensure that all scrapped parts were disposed in an environmentally compliant manner.
- Ensure that all Physical Assets are properly impaired per CP 10.13. Physical Assets are parts, components assemblies or any combination thereof that are associated with IBM owned computer related products and any IBM or customer information contained within the computer related products. This does not apply to items listed in CP 10.13 Appendix C Impairment Exemptions.
- Determine if cycle time from receipt to scrap (both physically and logistically) is appropriate and meeting targets.
- Observe scrapping of machines to determine if all frames are impaired prior to removal from IBM premises.
- Determine (for Asset Protection Classifications 3 and 4 parts) that proper transactions are recorded in the CATS database.
- Determine if, after impairment, controls are maintained at the weight level (or similar), for material shipped to suppliers for further processing.
- Determine if the process is in compliance with CP 10.17 Precious Metals Controls.
- Determine if the process is in compliance with CP10.12 Excess & Surplus Parts Inventories requirements.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 7. Supplier Management

Objective:

Were qualified suppliers selected in a competitive environment, and clear scopes of work identified (with appropriate terms and conditions), transactions reviewed and approved, and service levels established and effectively monitored?

Risk/Exposure:

Contracts can be long-term commitments for IBM. They should be reviewed by appropriate functions to assure IBM's interests and image are protected. In addition, transactions should be managed, and service levels monitored. Failure to do so could cause financial loss and damage to IBM's image.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 7. Supplier Management

Primary Test: Supplier Management (SM001.P)

Objective:

Verify that a competitive environment existed for selection of suppliers and that contract terms and conditions protected IBM's interests and assets as necessary and were agreed to by the supplier and IBM prior to start of work. In addition, verify disbursements made are valid, properly approved, and processed in a timely manner and that any associated recoveries are validated and are in accordance with the contract.

Note: if the remanufacturing or demanufacturing tasks are delivered through a vendor, testing should be conducted at the vendor site for all applicable tests in the audit program in order to ensure satisfactory contract administration.

Approach:

- Acquire a list of contracts and associated purchase orders established by the reutilization organization.
- Obtain a payment history report for purchase orders and bills of lading indicated as supporting contract documentation.
- Select a statistical sample of transactions related to disbursements and recoveries activity to verify the following attributes:
 - Contract terms and conditions are in line with proposals and are properly approved.
 - Contracts are sufficiently documented for single source activity where appropriate.
 - Contracts are signed by supplier and IBM prior to services being rendered.
 - Contract amendments are justified, properly approved, and processed in a timely manner.
 - Disbursements are supported by packing slips or bills of lading which are consistent.
 - Recoveries are supported by IBM bills of lading and supplier notification agreeing to shipment weights.
 - Billings are received and payments processed in a timely manner.
 - Service levels have been established and monitored. If targets are not met, review action plans or corrective actions and determine their effectiveness.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 8. Intercompany Transactions

Objective:

To ensure that there is an effective process to bill IBM countries in regions where a centralized remanufacturing/demanufacturing center services multiple IBM countries. In addition, in cases where countries transfer surplus inventory to GARS for sale or disposition, ensure that an accurate process is in place to validate pricing and asset transfer.

Risk/Exposure:

Ineffective and incorrect intercompany billing could result in inaccurate inventory values, and inaccurate revenue and cost at the IBM legal entity level.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 8. Intercompany Transactions

Primary Test: Intercompany Transactions (IT001.P)

Objective:

To ensure that there is an effective process to bill IBM countries in regions where a centralized remanufacturing/demanufacturing center services multiple IBM countries. In addition, in cases where countries transfer surplus inventory to GARS for sale or disposition, ensure that an accurate process is in place to validate pricing and asset transfer.

Approach:

Review intercompany transaction processes to determine the following:

- For domestic internal cost transaction, validate to ensure the accurate cost recording based on Accounting Instruction.
- Was there an effective intercompany billing process in cases where centralized remanufacturing/demanufacturing centers were servicing multiple countries?
- When countries transferred surplus inventories to GARS, was pricing in accordance with DOUs and were the assets transferred timely and accurately?
- Was there a process to reconcile and age intercompany transactions? Select a sample of reconciliations and ensure timely management review and follow up of aged items.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 9. Accounting

Objective:

Were the returned inventory assets accurately and correctly recorded in the ledger?

Risk/Exposure:

Accounting data should be presented in a consistent manner within IBM divisions. The existence of a financing subsidiary could result in the recording of financed assets differently for local accounting and for tax purposes. The exposures are that the incorrect classification and recording of assets could result in the inaccurate recording and reporting of financial results. Also, critical to proper accounting is the accurate determination of residual values.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 9. Accounting

Primary Test: Residual Values (AC001.P)

Objective:

To determine if the process to accurately record, and periodically update residual values for planned and actual inventory returns.

Approach:

Understand and document the process used to correctly record and periodically review residual values.

Identify exceptions and select a sample to perform the following tests. Potential exceptions could be:

- Residual values for like products with similar start and end lease dates that differ substantially.
- High or low return on equity for a product which could be due to incorrect recording of residual value.
- Negative residual value

From the exceptions selected, test the following:

- Were current residual values supported and approved?
- Were residual values projections maintained?
- Were accruals made to adjust residual values, and were they consistent from period to period, reviewed, approved and reversed?
- If residual values were guaranteed, were the contracts approved as required? (Accounting Instruction 93-004)

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 10. Process Controls

Objective:

To determine if there are effective measurements in place to provide management visibility to critical activity. In addition, does management have an effective expense monitoring process to ensure adherence to procurement guidelines.

Risk/Exposure:

Measurements

- There should be a comprehensive set of process measurements that provide management visibility to key activity. The absence of a good internal measurement system creates the environment for fraud to occur and can lead to loss or excessive expenditures.

Procurement Bypass

- There should be effective processes in place to give management visibility to all expenses so that procurement guidelines are adhered to.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 10. Process Controls

Primary Test: Measurements (PC001.P)

Objective:

Determine if a comprehensive set of measurements exists to provide management visibility to all key process areas. Also, to ensure management utilizes this information to make appropriate business decisions by maximizing profits on inventory sold.

Approach:

Review internal performance measurements for the audit period. Verify the appropriate level of management review. If targets are not met, review action plans or corrective actions and determine their effectiveness. The internal measurements should include the following:

- For Returned Inventory Management:
 - Recoveries
 - Are recoveries from suppliers reported and trended to the contract terms?
 - Aging
 - How long are parts and machines in storage?
 - Sensitive parts
 - Can all sensitive parts be identified in the storage area?
 - Rotating inventory counts
 - How often high dollar inventory items are reviewed and reported?
 - Is required testing performed and reported to IBM for validation as required?
 - Select a sample from each of these categories and verify the accuracy of the measurements from available supporting documentation.
- For External Sales of Used Equipment, validate the following attributes:
 - Is there a methodology for measuring external sales performance?
 - Do these measurements agree with corporate guidelines for sales in the secondary market and broker sale agreements?
 - Are broker sales performance targets established and measured for performance?
 - Were measurements reviewed by the appropriate level of management?
- Determine if measurement reporting existed for overdue payments (payment escapes) and was reviewed by management.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 10. Process Controls

Primary Test: Procurement Bypass (PC002.P)

Objective:

To determine if controls are in place to prevent the bypass of procurement in selecting suppliers and/or making purchases.

Approach:

Review documentation and management policies to validate the control measures listed below. In selecting a sample, refer to the Global Accounts Payable website. Additionally:

- In North America refer to the Electronic Check Request (ECR) approved categories.
- In EMEA refer to the PO Exempt procedures.
- In AP refer to Invoice Only Invoices (IOI) procedures.

Any expenses that do not fall into these categories must go through Procurement. NOTE: Some categories also specify monetary limits which may assist in selecting a sample.

- Review ECRs, PO Exempts, or IOIs from the previous year. If the population is too large, select a sample. Repeat requests for payment to the same supplier and/or from the same requestor could be a sample selection criterion. Verify that expensed items did not require procurement involvement.
- Review a selection of expense accounts to verify that expensed items did not require procurement involvement.
- Determine if management had procedures in place to prevent the bypass of procurement. If a bypass did occur, validate that control procedures were implemented in a timely manner to ensure that repeat bypasses would be prevented. If applicable, review any control risk assessment (CRA) measurements that the organization may have in place for procurement bypasses.
- Obtain a listing of suppliers used in support of the organization for general purchasing and select a sample of suppliers to confirm that they had been approved by procurement and that fair value analysis had been performed.

GLOBAL ASSET RECOVERY SERVICES (GARS) AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 11. Business Continuity Planning

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Risk/Exposure:

Any material disruption of business operations due to natural or man-made disasters can lead to significant financial loss not only IBM but potentially also for IBM's customers. Many business processes have been centralized, and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations in those centralized operations.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

Note: Business continuity risks become increasingly important in the environment where there are centers of excellence and multiple countries are supported by one center. This should therefore be an important test and considered primary in that environment. IT testing for disaster recovery is handled by the IT audit teams.

You should refer to BPBC127 Guideline for Business Process - Area Business Continuity Planning in the reference section of this audit program, in support of your review.

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Approach:

A guideline has been put in place for process owners providing guidance on business continuity planning (BCP). It should be noted by the audit team that this is a guideline rather than a specific instruction. However, it will act as a guide for you to understand whether key risks have adequately been considered for BCP and enable you to make an informed judgement regarding the risk mitigation in place. Different processes will have their own unique risk profiles regarding the probability and impact of an interruption to business operations. For example, the probability and impact of a business interruption for a process which has been centralized for multiple countries in a location with less-developed infrastructure is likely greater than that of a process supporting only a single country in location with robust infrastructure. As such, auditor judgment will be required to determine how important BCP is for a particular process, as well as to determine the reasonableness of any plans that have been designed by the process owners.

In the initial data request information ask for the process owner to confirm what plans have been implemented to ensure business continuity in the event of a natural or man-made disaster. Review that non-I/T process elements have been adequately considered in the BCP.

The following list of questions has been designed based on the BPBC127 Guideline for Business Process - Area Business Continuity Planning:

1. Has management assessed the risk to business continuity (BC) and identified the key business processes and activities that require formal business continuity planning based on impact to the business.
 - a. Identification and prioritization of business processes' activities in addition to prioritization done through by the Enterprise Process Owner (level 3 plans)
 - b. Understanding and documentation of the potential impact (financial, operational and reputation) to IBM from business disruptions from uncontrolled, non-specific events
 - c. Identification of the legal and regulatory requirements for the institution's business functions and processes
 - d. Review and approval from senior management

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

(Continued)

2. For critical business areas and processes, has the maximum acceptable outage (MAO) been established and considered in the BC plan?
 - a. Estimation of maximum allowable outage (MAO), based on the “acceptable level” of losses, associated with the institution's business functions and processes.
 - b. Estimation of recovery time objectives (RTOs), recovery point objectives (RPOs), and Maximum Tolerable Downtime (MTD) of applications and supporting technology required for business operations.
 - c. If applicable, recommended critical path recovery order.
 - d. Reconciled with agreed IT recovery priorities (Business Criticality Values, RTO/MTD).
3. For business areas and processes where there is a business continuity risk, has the BC Plan been created, reviewed, and approved by management?
 - a. The organization shall establish documented procedures for responding to a disruptive incident and how it will continue or recover its activities within a predetermined timeframe.
 - b. Top management shall review the organization's BCMS, at planned intervals, to ensure its continuing suitability, adequacy, and effectiveness.
4. Does the Plan document the specific continuity and recovery actions for all four impact scenarios (workforce, workplace, IT, and regional) that will need to take place to mitigate risk to the business if the impact lasts longer than the documented business' maximum acceptable outage?
 - a. Flexible to respond to unanticipated threat scenarios and changing internal conditions.
 - b. Focused on the impact of various threats that could potentially disrupt operations rather than on specific events.
 - c. Effective in minimizing service disruptions and financial loss through the implementation of mitigation strategies.
5. Does the BC plan clearly identify dependencies such as site resources, IT, suppliers, process interdependencies, partners, non-IT services and been reviewed and synchronized with the appropriate crisis management team?
 - a. An effective BCP coordinates across its many components, identifies potential process or system dependencies, and mitigates the risks from interdependencies.
6. Is there an established, management-endorsed business continuity team to oversee the maintenance, invocation, and execution of the BC plan?
 - a. Defined roles and responsibilities for people and teams having authority throughout an incident.
 - b. Additional teams as necessary to facilitate recovery execution per the chosen strategy.
7. Are personnel aware and educated on the plan, strategy, and roles?
 - a. Business continuity training should be an integral part of the BCM.
 - b. Comprehensive training program should be developed for all employees, conducted at least annually, and kept up to date to ensure that everyone understands their current role in the overall recovery process.
 - c. An audit trail should be maintained to document management's training efforts.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

(Continued)

8. Is there a regularly executed process for validating the Plan through tests including key elements such as people, technology (data, systems, applications, and telecommunications), and locations that house staff and technology to ensure fit for purpose and alignment with current risks?
 - a. Tests should be based on appropriate scenarios that are well planned with clearly defined aims and objectives that promote continual improvement.
 - b. Produce formalized post-exercise reports that contain outcomes, recommendations, and actions to implement improvements and are reviewed with management.
 - c. Tests are conducted at planned intervals and when there are significant changes within the organization or to the environment in which it operates.
9. FOR COMMERCIAL CONTRACTS: Where IBM has customer contracts including business continuity planning, have BC plans been implemented in accordance with contractual obligations?
FOR CUSTOMERS WITH REGULATORY REQUIREMENTS: Does the plan accommodate and account for the any unique rigor or accommodations for the regulatory body.
 - a. Adherence with contractual obligations contained in the IBM Responsibilities section of the Schedule or similar agreement. Including communication, recovery parameters, specialized technical designs.
 - b. Special considerations to meet unique regulatory requirements (HIPAA – US Healthcare has unique wording on backup, protection, and availability of data).

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 12. Application Management and Separation of Duties

Objective:

Were responsibilities segregated, and access to applications effectively managed, such that no one individual had responsibilities that would allow them to circumvent the system of controls?

In addition, were applications registered and certified as required by IBM corporate instructions and was access to data adequately managed and protected.

Note: a separate audit program exists for audit of IBM common applications.

Risk/Exposure:

An individual with responsibilities which would permit the initiation and concealment of irregular activity without detection, or with excessive or unauthorized access to applications and data, could cause an exposure to IBM.

GLOBAL ASSET RECOVERY SERVICES (GARS)

AUDIT PROGRAM #55-00-00

CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 12. Application Management and Separation of Duties

Primary Test: Application Management and Separation of Duties (AS001.P)

Objective:

Determine there was adequate separation of duties and adequate management of access to applications such that no one individual had responsibilities that would allow them to circumvent the system of controls or had unauthorized access to applications and data. Also, determine that all of the applications and spreadsheets being used by GARS process were registered and certified as required by IBM corporate instructions.

In addition, determine that the Application System Control Auditability (ASCA) requirements have been met for the spreadsheets used in the process.

Note: a separate audit program exists for audit of IBM common applications.

Approach:

- Application registration and certification

Validate that all applications have being registered in Enterprise Application Library (EAL) and had ASCA evaluation performed and certification obtained (where applicable). Also, verify that the EAL registration and ASCA certification are up to date for the latest release of each application.

In addition, validate that the ASCA requirements have been met for spreadsheets used in the process. ASCA requires an inventory of spreadsheets to be maintained and an ASCA evaluation be performed for spreadsheets that met certain criteria.

- Access management

Obtain a list of applications used and review the process for granting approvals for access to ensure that business need is confirmed. Ensure approvals include the employee's manager, or other relevant individual, that would be aware of other access granted to that employee. Review the process for periodic verification of employees and validation of continued business need. In addition, ensure that access for leavers (including to other roles) is deleted in accordance with IT security timeliness requirements. Refer to the IT Security Standard for further information on the corporate policy.

- Separation of Duties

Review, and test as necessary, the separation of duties assessment to validate that a complete separation of duties including all system accesses had been performed, was up to date, and had been reviewed and approved by management. Verify that potential conflicts have been identified and secondary controls established.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 13. Environmental Management

Objective:

Validate if the guidelines and policies as established by Corporate Environmental Affairs are being executed and monitored by the GARS team at the global level.

Risk/Exposure:

Failure to comply with legal and environmental requirements and insufficient enforcement of guidelines and policies in accordance with local country and IBM guidelines combined with an inadequate process to monitor and address issues could lead to impacts to health and the environment could impact IBM's image and financial loss to the corporation.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 13. Environmental Management

Primary Test: Environmental Management: Professional Self-Assessment (EM001.P)

Note: This process is performed at a global level.

Objective:

To determine if legal and environmental requirements were adhered to, appropriate reviews were performed, rating conclusions supported by appropriate documentation, approvals obtained, and issues actioned in a timely and effective manner.

Approach:

- Request most recent annual submission of the Professional Self-Assessments (PSA) to determine if:
 - Reviews were performed timely as required, and results were recorded in Corporate Environmental Affairs (CEA) Environmental Performance data base.
 - Verify that all questions with a response of “Complies with minor deviations”, “Pending” or “Unsatisfactory”, associated action items have an owner identified and target date for closure.
 - Do the overall results of the PSA review support the final assessment of Satisfactory, Marginal or Unsatisfactory?
- From the PSA Checklist, select a sample of line items and review the documentation that supported the “Complies”, “Complies with minor deviations”, “Unsatisfactory”, “Pending”, “Not applicable”.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 14. Export Compliance

Objective:

To validate if operations were adequately managed to verify compliance with the Export Regulation Office (ERO) United States Export Regulation Program (USERP) requirements, and corporate and local procedures governing export compliance requirements.

Risk/Exposure:

Failure to comply with IBM's export regulation compliance requirements could cause regulatory issues; resulting in fines and penalties, and the potential loss of IBM's privilege to engage in business operations on a global basis that fall under the jurisdiction of the regulations.

Failure to comply with IBM's export regulation compliance requirements could cause regulatory issues; resulting in fines and penalties, and the potential loss of IBM's privilege to engage in business operations on a global basis that fall under the jurisdiction of the regulations. Specifically, export shipment transactions with or involving entities on the Denied Parties List may result in export regulation compliance incidents.

Lack of awareness of export and import regulation compliance obligations and requirements can result in internal control errors and omissions leading to regulatory problems.

Failure to retain export compliance related records is a violation of the export regulations, which can result in fines and penalties, and subject IBM to extended official scrutiny in the event of IBM failing to provide records when requested or required.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 14. Export Compliance

Primary Test: Classification (EC001.P)

Objective:

To confirm that products to be exported, re-exported, or delivered were eligible to receive by the recipient (including any known ultimate end-user) prior to export and any necessary licenses or authorizations were obtained.

Approach:

- Were there documented processes for determining product classifications for all sales?
- Has the ECCN of a product been assessed to ensure the ultimate end-user is eligible to receive the offering prior to export?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 14. Export Compliance

Primary Test: DPL Screening (EC002.P)

Objective:

To ensure that all GARS operations are adequately managed to prevent transactions (including purchases) to entities on the IBM Denied Parties List (DPL).

Approach:

Are there written procedures describing how DPL screening is executed for all known parties to a transaction and do the procedures apply to all transactions (both sales and purchases):

- The procedure requires that all transactions be suspended when a DPL match is identified until/unless the match is resolved.
- Screeners have received education on DPL screening responsibilities and requirements and are able to explain what they are doing and why they are doing it.
- DPL screenings are documented with the date the screening was performed and the identity of the person conducting the screening.
- The screenings are conducted in accordance with the provisions of USERP Section 4, Part 1.2.1 (DPL Screening Guidelines).
- The procedure describes the process for evaluating potential DPL matches, including communication of potential matches to relevant functions, the process for stopping or suspending affected export/re-export shipment operations, and escalation to the responsible operating unit ERE, ERC, or the ERO, as necessary.
- Controls or measurements are in place within the Global Logistics control tower organization that monitor Global Logistics supplier's use of the IBM Denied Parties List (DPL), ensuring consistency with IBM requirements and the supplier's responsibilities on behalf of IBM.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 14. Export Compliance

Primary Test: Export Education and Awareness (EC003.P)

Objective:

To ensure that all persons executing export compliance responsibilities receive yearly export education and that such education is appropriate to their job role.

Approach:

Review the education requirements in Section 2, Part 2.5.1 of the United States Export Regulation Program (USERP).

- Did the location's internal control program describe requirements for management's statement of support?
- Was the letter issued by the operating unit's senior manager (i.e., General Manager, Senior Location Executive, Global Process Owner)? Did it include the following points:
 - No export or import transaction contrary to the regulations were to be made.
 - Knowledge of an export or import violation, actual or potential, was to be reported to the ERE/ERC or IRE as appropriate.
 - Penalties for noncompliance were serious.
 - Refer questions relating to compliance to the ERE or IRE (as appropriate). Indicate name, telephone number, and system ID.
- Did the operating unit's key compliance persons complete yearly export education responsive to their role and the export activities within their operating unit?
- Has the ERC certified that the yearly education for key export compliance persons is complete and included the required topics?
- Did customer facing personnel receive yearly education as detailed in USERP Section 2, Part 2.5.1?
- Were new employees with key responsibilities for export compliance included in the plan and was education delivered timely?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 14. Export Compliance

Primary Test: Records Retention (EC004.P)

Objective:

To ensure records documenting compliance with the IBM export regulation compliance requirements produced by GARS are being retained in accordance with the requirements of USERP Section 2, Part 2.6.1. IBM's Worldwide Records Management Plan (WRM) also describes records retention periods which confirm with applicable regulations. Operating unit record retention requirements for all export related records, including any boycott records, is five years.

Approach:

Record retention requirements need to reflect the record categories, as described in USERP Section 2, Part 2.6.1 and the WRM Plan, and the five-year retention period.

Records subject to this requirement may be retained in any reasonable manner, hardcopy, or softcopy, as long as the retention method and storage location meets all of the following criteria:

- Active locally retained records are to be stored in a location that is easily and readily accessible in the event of audit, review, investigation, or another valid request. An individual employee's workstation hard drive is not sufficient for this purpose.
- Inactive records must be stored in archive locations or repositories that are known to the operating unit such that they can be produced in a timely manner in the event of audit, review, investigation, or another valid request.
- Operating units need to ensure that authorized access to all active and inactive records is available to enough appropriately designated local persons, not just to the operating unit ERE and ERC, so that records can be retrieved in the event of the absence or the incapacity of the operating unit's ERE or ERC.
- All records subject to this requirement are kept for the mandated retention period.

These requirements apply to all records subject to this section and are independent of the duration of the IBM employment or related assignment tenure of the IBM originators of those records,

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Objective:

To validate if operations were adequately managed to verify compliance with Import requirements.

Risk/Exposure:

Inaccurate Valuation of goods could lead to inadmissibility into receiving countries, affect duty payments and could lead to fines and penalties for non-compliance.

Failure to identify and mitigate risk associated with country-unique import requirements (such as used goods, encryption, anti-dumping/countervailing duty, etc.) may result in civil or criminal penalties or the loss of IBM's privilege to import and deliver products and services to these countries. Potential for negative publicity as these areas often represent nationalistic trade barriers.

Inaccurate Country of Origin information could lead to inadmissibility into receiving countries, could affect duty rates and could lead to fines and penalties for non-compliance.

Inaccurate commercial invoices lead to customs delays and potentially seizures, fines and penalties for non-compliance with regulations.

Lack of awareness of trade compliance requirements could lead to unintentional non-compliance. Potential penalties include monetary fines, loss of market access, imprisonment, and debarment. Also, failure to properly retain international trade related documentation can result in IBM's inability to support international trade declarations with associated lost duty savings and/or penalties to IBM.

Inaccurate or incomplete records would lead to fines and penalties by Customs or Other Government departments.

Lack of measurements and visibility to performance indicators could result in non-compliant shipments and inefficiencies in the business.

Failure to have sufficient import terms could result in breach of contractual agreements when IBM has import compliance concerns about the legality of a transaction.

GLOBAL ASSET RECOVERY SERVICES (GARS)

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Valuation (IC001.P)

Objective:

To confirm that the complete transaction value (TV), including any additions to the price actually paid or payable (PAPP), is reported to Customs.

Approach:

How do you ensure that commercial invoice value for all goods shipped, is accurate at time of shipment?

What is the basis to determine the value for all types of shipments?

What is the process to manage credit correct activities on export invoices including controls from the identification of errors through root cause analysis and measurement of invoice corrections?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Unique Country Requirements (IC002.P)

Objective:

What is the process to ensure compliance with unique country requirements (e.g., used goods) including the process for timely renewal of licenses and permissions?

Approach:

- Sample exports to determine adherence to requirements in receiving countries. Review a sample of exports and compare to the receiving country prohibitions and, for restricted products, requirements for any import licenses, permits, certificates, notifications or approvals.
- Were conditions of the specific restriction (license, permit, certificate, etc.,) adhered to? If a specific license was required, was it valid at the time of import and were conditions of the license adhered to? Were renewals applied for timely to ensure no gap in IBM's ability to deliver products? Were local requirements for reporting and record-keeping met?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Country of Origin (IC003.P)

Objective:

To determine if risks were adequately managed to verify that imported goods were appropriately marked with country of origin (CoO) information, and that improperly marked goods were identified. Ensure that inaccurate markings were corrected in a timely manner, and that location logistics systems accurately reflected the country of origin. This test applies to all organizations as defined in the corporate instructions.

Approach:

- How does the brand determine the correct country of origin for the products and assemblies that they build or refurbish?
- How is the country-of-origin information input into the system and how do you ensure that the origin on the commercial invoice matches the origin of the goods?
- How do you ensure consistency between the country of origin shown on the article, immediate container, shipping documentation and system?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Invoice Quality (IC004.P)

Objective:

To validate that commercial invoices on shipments comply with customs and other government agency requirements for complete, accurate, adequate and consistent documentation.

Approach:

How do you ensure the commercial invoice is complete and accurate (description, country of origin, unit cost, etc.) as per the receiving country SPI?

Sample exports to determine adherence to requirements in receiving countries. Review a sample of exports and compare to the receiving country prohibitions and, for restricted products, requirements for any import licenses, permits, certificates, notifications or approvals.

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Education and Awareness (IC005.P)

Objective:

To validate if operations were adequately managed to verify compliance with regulatory requirements. Specifically, to determine if employees responsible for the import internal control program related activities were advised of compliance requirements through senior management directives and continuous training and education.

Approach:

- Did the location's internal control program describe requirements for management's statement of support?
- Was the letter issued by the operating unit's Import Requirements Executive?
- Did the operating unit's key compliance persons complete yearly import education responsive to their role and the import (shipment) activities within their operating unit?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Record Keeping (IC006.P)

Objective:

To ensure records documenting compliance with the IBM Customs regulation compliance requirements produced by GARS are being retained in accordance with the regulatory requirements. IBM's Worldwide Records Management Plan (WRM) also describes records retention periods which confirm with applicable regulations.

Approach:

- What is the records retention process for retaining Customs documentation (invoices, air waybills, payment, and accounting records)?
- How are records retention requirements communicated to 3rd party manufacturers and how is this tested?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Monitoring (IC007.P)

Objective:

To determine if appropriate measurements were in place to provide management with visibility concerning import compliance performance.

Approach:

- What methods of oversight and monitoring are used to ensure compliance with Customs requirements? (Internal and Outsourced contractors)
- As it relates to shipping compliance, do the outsourced contracts clearly outline compliance elements and are there measurements or monitoring in place to assess performance of the contract?
- Is there a way to track root cause and corrective action of compliance related issues and is the process effective in driving corrective action?

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CONTROL ASSESSMENT QUESTIONS – RETURNED INVENTORY MANAGEMENT

Key Control Question: 15. Import Compliance

Primary Test: Contract Language (IC008.P)

Objective:

To ensure that all contracts contain a basic import clause.

Approach:

Review the Import contract terms for Outsourced Contractors/ Suppliers/Vendors/Customers and ensure appropriate level of contract terms are clearly documented. Requests for any major modifications require review and approval by IBM's Government and Regulatory Affairs counsel.